UNIT VIII

THE SALE OF GOODS ACT 1930 AND THE NEGOTIABLE INSTRUMENTS ACT 1881

22 CHAPTER

THE NEGOTIABLE INSTRUMENTS ACT 1881

எனைத்தானும் நல்லவை கேட்க அனைத்தானும்
ஆன்ற பெருமை தரும்.

–குறள் 416

COUPLET

Let a man listen, never so little, to good (instruction), even that will bring him great dignity.

Learning Objectives

To enable the students to understand the

- Negotiable Instruments
- Meaning, characteristics and Assumptions
- Bills of Exchange, Cheque, Promissory Note – comparison
- Crossing of cheque – types – endorsement types



Chapter Synopsis

22.01 Negotiable Instruments – Meaning, Characteristics, Assumptions

22.02 Negotiability & Assignability

22.03 Bills of Exchange, Cheque, Promissory Note – A Comparison

22.04 Crossing of Cheque

22.05 Endorsements

The word 'Negotiable' means transferable from one person to another in return for consideration. The word 'Instrument' means a written document by which a right is created in favour of certain person. Thus, a negotiable instrument is a document which entitles a person to a certain sum of money and which is transferable from one person to another by mere delivery or by endorsement and delivery. The terms delivery and endorsement has been explained

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